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WHAT DOES IT take to make a business future-ready? Cloud, digital, artificial intelligence, machine learning, reskilling—these are some of the buzzwords being bandied about in corporate boardrooms. Now, add ESG to the list. And it isn't just because markets regulator, the Securities and Exchange Board of India (Sebi), has mandated the top 1,000 companies by market capitalisation to disclose their ESG activities under its Business Responsibility and Sustainability Reporting (BRSR) framework.

“ESG plays a pivotal role in ensuring the long-term sustainability of businesses as it encompasses all the non-financial aspects that either directly or indirectly impact the bottom line of the business,” explains Rathin Kukreja, Practice Leader & Associate Director-Consulting at CRISIL Market Intelligence and Analytics. While companies have been dealing with ESG (environmental, social and governance) for a while, it is only in recent years that organisations have cottoned on to the fact that these principles are good for business. Kukreja says ESG-centric organisations will be able to build resilient, viable and impactful businesses in future years. ESG integration, he adds, can have multiple benefits, including better operational efficiency, tapping unexplored opportunities, sustainable profit-

27%

of businesses from India are **well-prepared to meet ESG requirements**, while suppliers of only 15% of respondents are ready



49%

of the businesses surveyed **are aware of ESG reporting mechanisms** and regulations in India



68%

of the respondents have been able to **formally integrate ESG strategies and mechanisms** into their organisations



80%

of the respondents report their ESG efforts via methods like **sustainability reports (81 per cent), ESG reports** (50 per cent) and BRSR & integrated reports (44 per cent)



75%

of the companies surveyed communicate their ESG efforts; **the most-used method is awareness programmes** (85%), followed by annual meetings (76%) and investor decks (50%)

SOURCE DELOITTE ESG PREPAREDNESS SURVEY REPORT



READY OR NOT?

ability, better risk management and strong governance—all of which help increase shareholder value.

Such frameworks also provide long-term sustainability by comprehensively safeguarding profits, people and the planet, say experts. “Assimilating environmental, social and governance factors and measuring the impact created can help in future-proofing of enterprises with respect to the opportunities and threats that cannot often be measured,” says Prosenjit Ghosh, Director at ESGRisk.ai, and Group Chief Business Officer of Acuité Ratings & Research. Also, it was once common for businesses to outsource environmentally or socially risky operations and distance themselves from those risks. But now, traceability and transparency of supply chains and product procurement practices are being demanded by stakeholders. A recent Sebi consultation paper has also proposed ESG disclosures for the supply chain. Companies will be pressured to take greater ownership of extended product responsibility as regulations grow.

GREEN MOVES

The focus on the ‘environmental’ part of ESG leads businesses towards responsible consumption of resources such as energy and water, as well as the use of environment-friendly technologies. For instance, Tata Chemicals—using data as an enabler—has implemented the connected plant concept at its 80-year-old Mithapur plant in Gujarat. “Analytics, the Internet